EXECUTIVE SUMMARY

I. Introduction

Old folks in Amulung claim that the place got its name from a vine, which was then abundant in the forest. Natives called this vine "Am-a-mulung". Since then, the place came to be known as Amulung up to its operation as a Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as a second (2nd) class Municipality, covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

II. Financial Highlights

The financial information of the Municipality for CY 2022, with comparative figures for CY 2021, are presented below:

Particulars	2022	2021	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	913,953,856.80	657,021,898.56	256,931,958.24	39.11%
Liabilities	152,704,326.01	134,658,064.68	18,046,261.33	13.40%
Government Equity	761,249,530.79	522,363,833.88	238,885,696.91	45.73%
Result of Operations				
Income	403,490,440.93	267,413,883.15	136,076,557.78	50.89%
Expenses	317,410,297.16	200,906,953.80	116,503,343.36	57.99%
Appropriations, Allotments and Obligations				
Total Appropriation	510,049,486.32	262,107,892.47	247,941,593.85	94.60%
Total Allotment	510,049,486.32	262,107,892.47	247,941,593.85	94.60%
Total Obligations	314,833,011.69	188,747,052.92	126,085,958.77	66.80%

Fund Transferred from Other Agencies				
NGAs	20,100,099.99	13,464,867.42	6,635,232.57	49.28%
LGUs	300,000.00	533,620.00	(233,620.00)	(43.78%)
GOCCs	100,000.00	-	100,000.00	
Fund Transferred to Other Agencies				
LGUs	-	2,447,000.00	(2,447,000.00)	(100%)

III. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Amulung for the year-ended December 31, 2022 due to the following because these are materially misstated by an aggregate amount of ₱66,577,297.47 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Amulung disclosed misstatements totaling ₱66,577,297.47 in absolute value as follows:

Account	Assets	Liabilities	Equity/Revenue/ Expense	Total
Cash in Bank – LCCA	929,986.65			929,986.65
	585,680.59			585,680.59
Road Networks	20,407,917.39			20,407,917.39
	1,139,021.42			1,139,021.42
Trust Liability - DRRM		32,113.41		32,113.41
Miscellaneous Income			3,568,832.18	3,568,832.18
Prior Period Adjustments			4,248,635.07	4,248,635.07
Grants and Donations In – Kind			8,099,997.66	8,099,997.66
Other MOE			27,565,113.10	27,565,113.10
Total	**23,062,606.05**	**32,113.41**	**43,482,578.01**	**66,577,297.47**

As a result, the following accounts in the financial statements of the Municipality of Amulung were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Cash in Bank – LCCA	959,986.65	30,000.00	1
Cash in Bank – LCCA	585,680.59		2
Accounts Payable	414,536.62		
Prior Period Adjustments	171,143.97		
Road Networks	20,407,917.39		3
Government Equity	20,407,917.39		
Road Networks	1,139,021.42		4
Construction in Progress – Infrastructure Assets		1,139,021.42	

Account	Understatement	Overstatement	Observation No.
Trust Liability - DRRM		32,113.41	5
Prior Period Adjustments	32,113.41		
Government Equity	3,568,832.18		6
Miscellaneous Income		3,568,832.18	
Office Supplies Inventory		2,608,537.97	7
Accountable Forms Inventory		100,810.00	
Drugs and Medicine Inventory		969,391.00	
Medical, Dental, Laboratory Supplies Inventory		449,946.10	
Other Supplies and Materials Inventory		119,950.00	
Prior Period Adjustments	4,248,635.07		
Grants and Donations In – Kind	8,099,997.66		8
Drugs and Medicines Expense	8,099,997.66		
Other Maintenance and Operating Expenses		27,565,113.10	9
Other General Services	27,565,113.10		
Total	**95,700,893.11**	**36,583,715.18**	

IV. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Out of the 19 projects funded out of the CY 2022 20% Development Fund, six were not completed and five were not implemented as of December 31, 2022.

   We recommended that Management identify and immediately address the causes of delay and henceforth ensure that the development projects to be funded out of the 20% DF are carefully planned and procurement and implementation ready, in order to maximize the utilization of the projects and to ultimately achieve the socio-economic developments and environmental outcomes of the Municipality.

2. Deficiencies with a total amount of ₱1,739,885.72 were noted in the implementation of 17 projects such as transverse cracks, minor scalings, longitudinal cracks and incurrence of 137 days delay in the completion of projects.

   We recommended that Management require the concerned contractors to rectify the defects the soonest time to avoid further deterioration and to ensure longer life span of the structures. Otherwise, the corresponding amounts of deficiencies noted of ₱1,739,885.72 will be disallowed in audit.

3. The Municipality recorded a 82.44% rate of collection or ₱7,580,145.74 out of ₱9,195,100.00 BLGF – approved collection target for the Real Property Tax (RPT) and Special Education Tax (SET) in CY 2022, however, compared with the total RPT

and SET collectibles of the LGU for CY 2022 of ₱ 31,979,283.68, there is a significant amount of uncollected taxes of ₱20,609,065.10 or 64.45% , which is indicative of its inefficient collection efforts due to lack of intensive tax campaigns and non-enforcement of remedies against delinquent taxpayers.

We recommended that Management intensify tax collections thru the formulation of strategies to improve collection of real property taxes and encourage the involvement of barangay officials in the tax campaign to reach out to a larger area.

V. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2022:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	14,087,071.59	-	479,726.05	13,607,345.54	3.41%
Current Years	-	-	-	-	
Total	14,087,071.59	-	479,726.05	13,607,345.54	3.41%
Charges					
Prior Years	-	-	-	-	
Current Years	-	-	-	-	
Total	-	-	-	-	

VI. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2021 Annual Audit Report are summarized as follows:

Implemented		4
Not Implemented	5	
Not Implemented and Reiterated in CY 2022 AAR	3	8
Total		**12**